Dr. Receipts and Payments Account for the year ended 31st March, 2019 Cr.

Receipts	₹	₹	Payments	₹
To Subscription				
2017-2018	5,000			
2018-2019	48,000			
2019-2020	3,000	56,000		

There are 300 members in the club each paying an annual subscription of ₹ 200 per annum. Subscription still outstanding for the year 2017- 2018 is ₹ 1,000.

Solution:

Dr. Income and Expenditure Account for the year ended 31st March 2019 Cr.

Expenditure	₹	Income	₹	₹
		By Subscription	48,000	
		Add: Outstanding subscription for 2018-2019	12,000	60,000

Balance sheet as on 31st March, 2019

Liabilities	₹	Assets	₹	₹
		Outstanding subscription		
Subscription received in		2017 – 2018	1,000	
advance for the year 2019-20	3,000	2018 – 2019	12,000	13,000

Tutorial note

Total Subscription due for current the year (2018-19) 300 x ₹ 200 = ₹ 60,000

Less: Amount received for the current year (2018-19) = ₹ 48,000

Outstanding subscription for the current year (2018-2019) = ₹ 12,000

Illustration 10

How will the following items appear in the final accounts of a club for the year ending 31st March 2017? A club received subscription of ₹ 25,000 during the year 2016-17. This includes subscription of ₹ 2,000 for 2015-16 and ₹ 1,500 for the year 2017-18. Subscription of ₹ 500 is still outstanding for the year 2016-17.

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